SOFTWARE LICENSE AND SUPPORT AGREEMENT

This Software License and Support Agreement (this "Agreement") is entered into on June 15, 2024 (the "Effective Date") between Kestrel Dynamics Corp., a corporation incorporated in the State of Washington, with offices at 9 Harbour Mews, Tacoma, Washington ("Licensor"), and Marlowe Retail Holdings, Inc., a corporation incorporated in the State of Ohio, with offices at 2300 Arcade Street, Columbus, Ohio ("Licensee").

The Parties, intending to be legally bound, hereby agree as follows.

1. DEFINITIONS

1.1 "Documentation" means the user manuals and technical specifications that Licensor makes generally available for the Software.

1.2 "Software" means the object-code version of the warehouse orchestration suite known as Kestrel Relay, together with all updates supplied under this Agreement.

1.3 "Site" means each distribution centre of Licensee identified in Exhibit A.

2. GRANT OF LICENSE

2.1 Subject to the terms hereof, Licensor grants to Licensee a non-exclusive, non-transferable right to install and use the Software at the Sites, solely for the internal operations of Licensee and its wholly owned subsidiaries.

2.2 Licensee may make such copies of the Software as are reasonably necessary for back-up and disaster-recovery purposes, provided that every copy reproduces all proprietary notices.

3. DURATION

3.1 Fixed Period. The licence granted hereunder, and this Agreement as a whole, shall commence on the Effective Date and shall endure for a fixed and uninterrupted period of seven (7) years, that is to say eighty-four (84) months, reckoned from the Effective Date (the "Initial Term"), and neither Party shall be entitled to bring the Initial Term to an end otherwise than as expressly provided in Section 11.

3.2 Continuation. At the close of the Initial Term, and at the close of every succeeding period, this Agreement shall be prolonged of its own force, and without notice or formality, for consecutive periods of twenty-four (24) months apiece, unless one Party shall have served upon the other a notice of non-renewal at least fifteen (15) days before the expiration of the period then running.

3.3 The fees applicable during any prolongation shall be those in force on the last day of the preceding period, increased by five per cent (5%).

4. FEES

4.1 Licensee shall pay an annual licence fee of three hundred and ten thousand United States dollars (USD 310,000), payable in advance on each anniversary of the Effective Date.

4.2 All fees are exclusive of sales, use and similar taxes, which Licensee shall bear. Invoices are payable within thirty (30) days of issue.

5. SUPPORT AND MAINTENANCE

5.1 Licensor shall make available telephone and electronic support during the hours of 7.00 a.m. to 7.00 p.m. Pacific time on business days, and shall use commercially reasonable efforts to correct reproducible errors.

5.2 Licensor shall supply to Licensee, at no additional charge, those updates and maintenance releases that it makes generally available to its other licensees.

6. RESTRICTIONS

6.1 Licensee shall not, and shall not permit any third party to, reverse engineer, decompile or disassemble the Software, nor rent, lease or sublicense it, nor use it to provide services to third parties.

7. CONFIDENTIALITY

7.1 Each Party shall protect the confidential information of the other with the same degree of care as it applies to its own information of like kind, and in no case with less than reasonable care.

7.2 The Software, in source and object form, and the Documentation shall be deemed the confidential information of Licensor.

8. WARRANTIES

8.1 Licensor warrants that, for ninety (90) days following first installation, the Software will perform substantially in accordance with the Documentation.

8.2 The sole remedy for breach of the foregoing warranty shall be correction or replacement of the non-conforming Software or, if Licensor is unable to do so within a reasonable time, a refund of the fees paid for the affected period.

9. LIABILITY

9.1 Financial Ceiling. The entire liability of Licensor, and the exclusive remedy of Licensee, in respect of all claims arising under or in connection with this Agreement, whether sounding in contract, tort or otherwise, shall in no circumstances exceed, in the aggregate, five hundred thousand United States dollars (USD 500,000).

9.2 The ceiling in Section 9.1 shall not apply to the obligations of Licensor under Section 10 or to liability arising from wilful misconduct.

9.3 Preservation of Remedies. The Parties acknowledge and agree that the ceiling in Section 9.1 is the sole limitation upon the remedies available under this Agreement. For the avoidance of doubt, nothing in this Agreement shall be read as excluding or restricting the recovery by either Party of indirect or consequential losses, including loss of profits, loss of data and losses arising from business interruption, each of which shall be recoverable to the extent proven.

10. INTELLECTUAL PROPERTY INDEMNITY

10.1 Licensor shall defend and hold harmless Licensee against any claim that the Software, used in accordance with this Agreement, infringes any United States patent or copyright.

11. TERMINATION FOR CAUSE

11.1 Either Party may terminate this Agreement by written notice where the other has committed a material breach that remains unremedied thirty (30) days after written notice requiring its remedy.

11.2 On termination Licensee shall cease all use of the Software and shall certify in writing that every copy has been destroyed.

12. AUDIT

12.1 Not more than once in any twelve (12) month period, and upon reasonable notice, Licensor may inspect the records of Licensee to verify compliance with the scope of the licence.

13. GOVERNING LAW

13.1 This Agreement shall be construed in accordance with the laws of the State of Washington. The courts sitting in Pierce County, Washington shall have exclusive jurisdiction.

14. GENERAL

14.1 This Agreement sets out the whole understanding of the Parties regarding its subject matter. A waiver shall be effective only if given in writing. If any provision is held unenforceable, the remaining provisions shall continue in effect. Notices shall be sent to the addresses first set out above.

IN WITNESS WHEREOF, the Parties have caused this Agreement to be executed by their duly authorised representatives as of the date first written above.

KESTREL DYNAMICS CORP.
By: _____ Name: _____ Title: _____

MARLOWE RETAIL HOLDINGS, INC.
By: _____ Name: _____ Title: _____